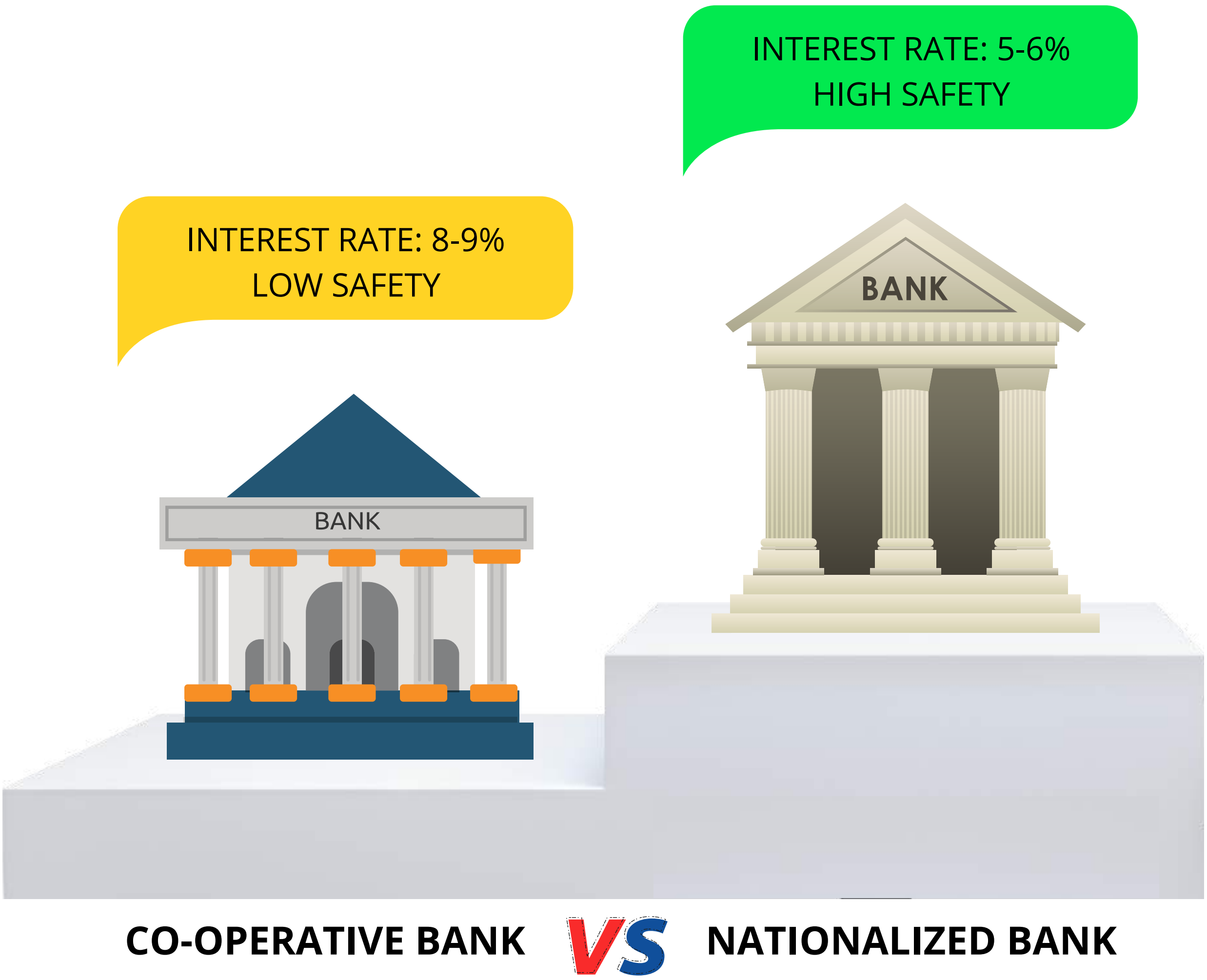
With the emergency fund asset selection, our focus is not on returns. The focus is on the safety of capital and liquidity of the asset. It should be completely risk-free and we should be able to access the same whenever need be. If given two assets, one earning 8% p.a. and another earning 6% p.a., but the latter is more stable, secure and liquid than the former, we will choose the latter.




For those who begin with this early on in their career, they will begin with 8-9x times of their income. But as their income increases, the amount required in the emergency system will also keep on increasing and as a result, they will keep making additional contributions to maintain 8-9x of their increased income in emergency funds. 8-9 months of income can sustain us for 12-16 months in terms of expenses. That should be enough time for us to mitigate through the emergency.